

Audience, action, results: Your holiday marketing guide

September 15, 2026



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Today's speakers



Maor Daniel
Senior Director, Global Sales
Microsoft Advertising



Chris Vazquez
Analytical Lead
Microsoft Advertising



Brent Brown, Jr.
Analytical Lead
Microsoft Advertising



Sarah Mascone
Account Manager
Microsoft Advertising

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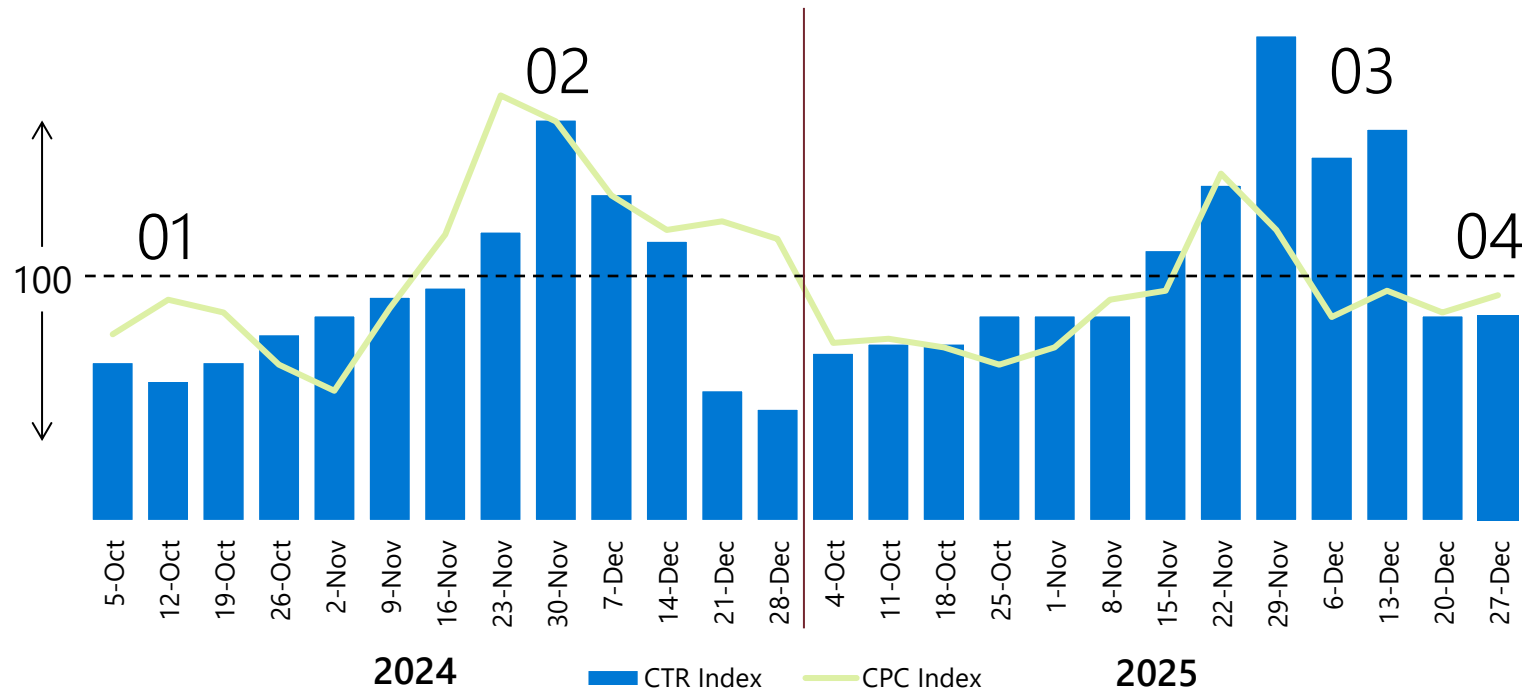
05

Key Takeaways and Wrap
Up

Holiday ramp



SMB holiday trends show growth and unique opportunity windows



Source: Microsoft internal UK/SMB/Retail Holiday season advertiser performance 2024 to 2025.
Indexed metrics based on average for Oct-Dec holiday season

01

October is a prime opportunity to build consideration with low CPCs.

02

CPCs and CTRs peak in mid-November.

03

Value opportunity! CPCs decline while CTRs remain elevated.

04

Late December sees declining CPCs. 40% of holiday conversions came in December.

SMB opportunity windows extend beyond retail all-up

L2 category	Oct CTR peaking into Nov	Nov CTR rebalance into Dec	CTR pattern holds
Apparel and accessories	✓	✓	✓
Consumer electronics	✓	✓	✓
Flowers/Candy/Gifts	✓	✓	✓
Home and garden	✓	✓	✓
Jewelry and watches	✓	✓	✓
Toys and hobbies	✓	✓	✓

Source: Microsoft internal US/Agency/SMB/Retail Holiday season advertiser performance Holiday 2025.
Indexed metrics based on average for Oct-Dec holiday season by major retail demand L2 verticals.

01

Beyond retail all-up,
major sub-verticals follow
a consistent Nov-Dec trend.

02

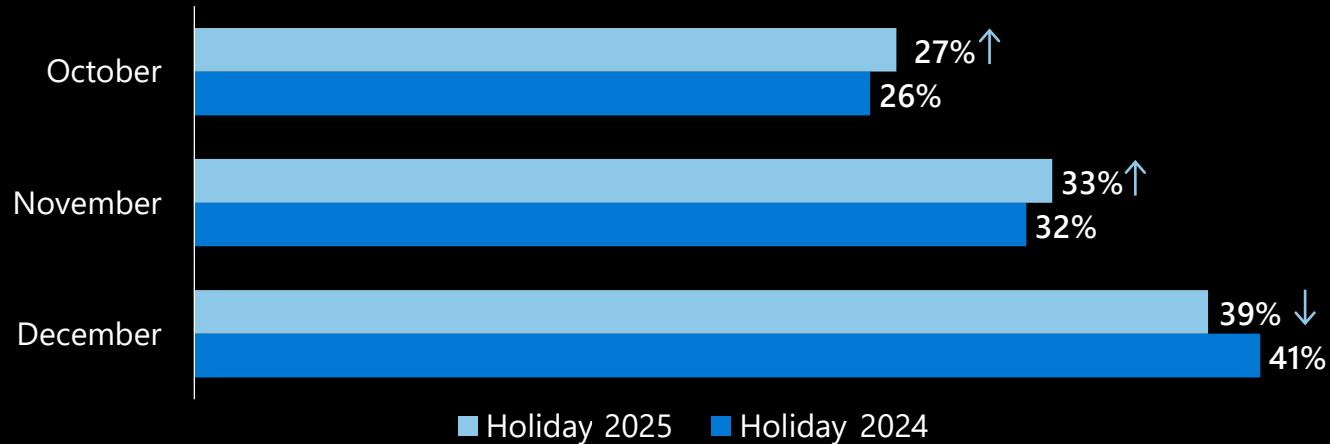
With holiday CPCs and
CTRs correlated, get ahead
in October to earn first clicks.

03

By November, many brand and
product consideration decisions
have already been determined.

SMB Holiday conversions are becoming more evenly spread throughout the season

Although December still reigns for SMB conversions, the spread is starting to even out, showing the importance of October and November in your total Holiday marketing strategy



Microsoft Internal Data | US | SMB | Retail Conversions | Holiday 2025 compared to prior season



October consistently delivers over a quarter of all holiday conversions.

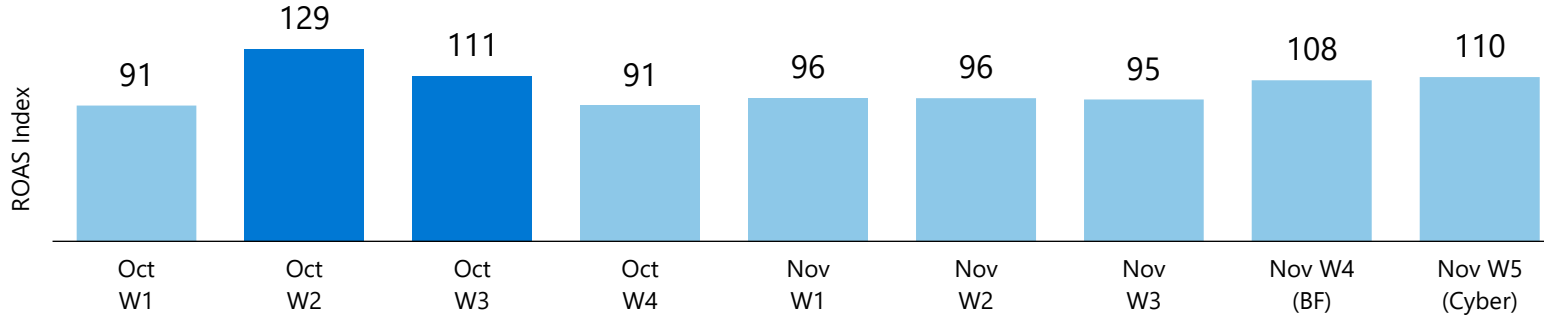
Early engagement captures deal-seekers and builds brands before the Nov/Dec peak.



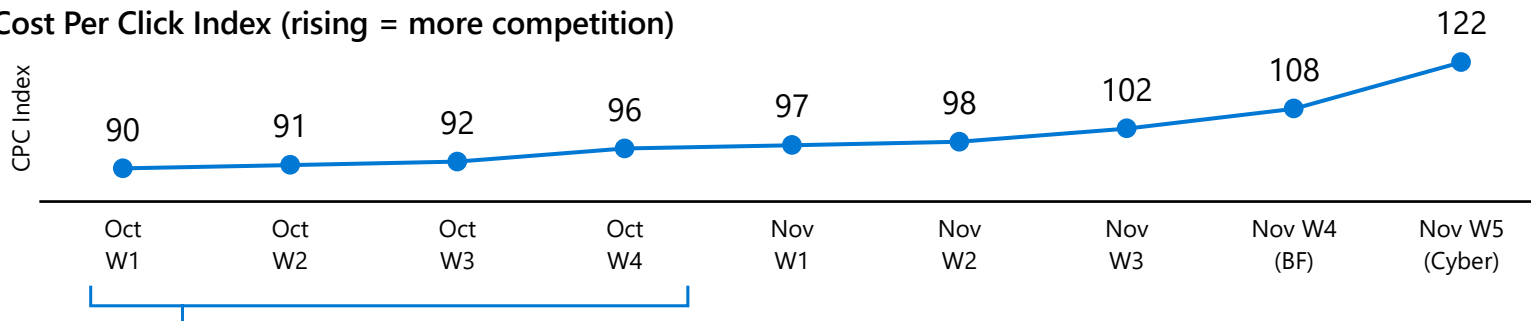
Mid-end of season accounts for roughly 73% of holiday conversions. **Peak impact falls across Nov and Dec.** Scale your spend and messaging here post October.

October: The first-mover advantage

Return on Ad Spend Index (season avg = 100)



Cost Per Click Index (rising = more competition)



Action: Activate in October to build audiences before November auction premiums kick in.

Source: Microsoft Internal SMB Data | US | Holiday 2025 | All values indexed to season average (Oct-Dec 2024 and 2025)

1.7x

Return on Ad Spend vs Q4 avg

Intent is early

Shoppers research weeks before Black Friday. Early Oct captures high-quality clicks to build consideration.

Auctions are wide open

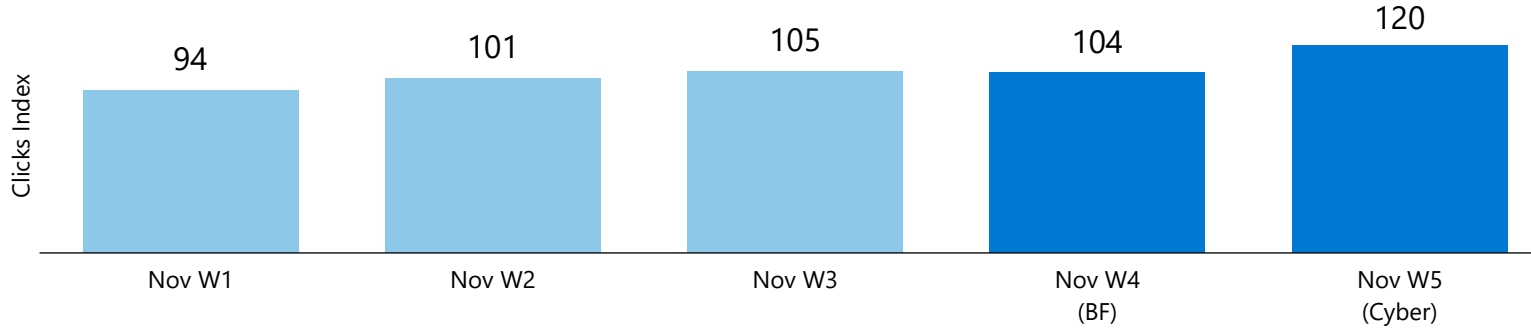
Auction pressure hasn't built yet. Cost efficiency is at its seasonal best in October before CPC's climb 15-20 index points.

First in = less competition

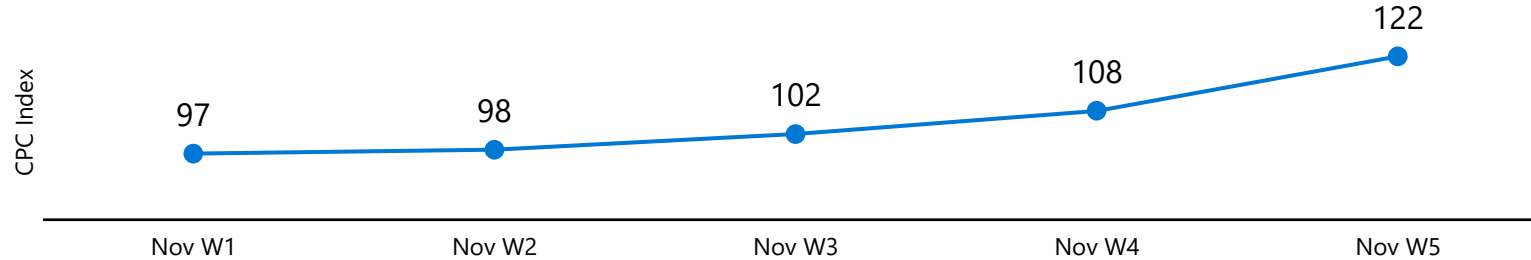
Early Oct awareness builds retargeting pools that convert at higher rates when BF/Cyber peaks.

November: Where volume meets intent

Clicks Index (season avg = 100)



Cost Per Click Index (rising = more competition)



Source: Microsoft Internal SMB Data | US | Holiday 2025 | All values indexed to season average (Oct-Dec 2024 and 2025)

1.2x
clicks vs Q4 avg

High intent is a premium

Higher CPCs are the price of admission to the biggest shopping event of the year.

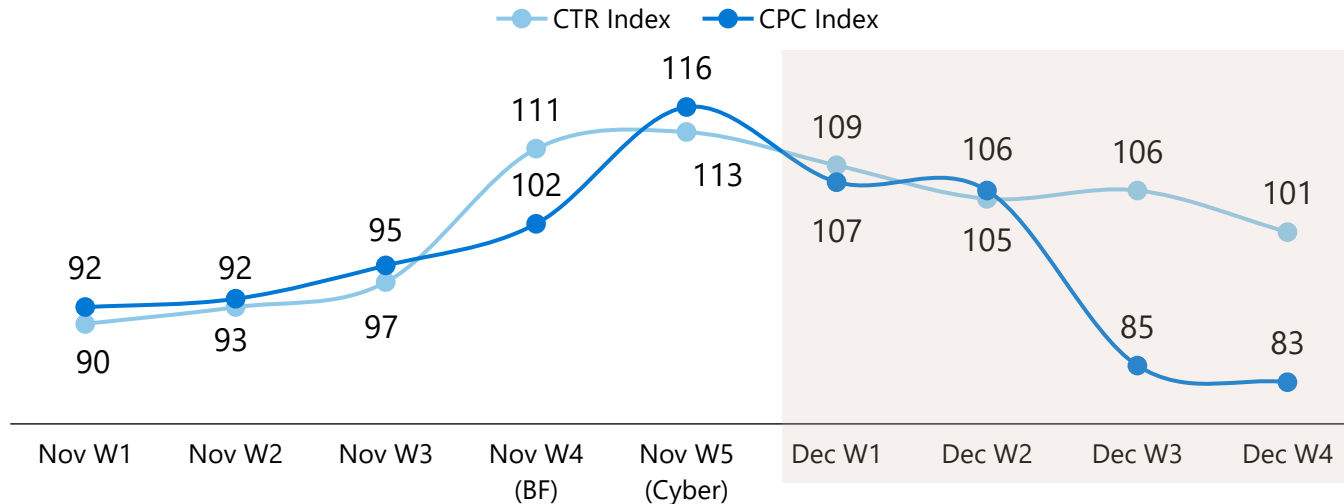
ROAS and click volume climb

Click volume and ROAS both climb. Increased spend is justified to scale.

Budget accordingly

Budget for higher CPCs as click volume and ROAS climbs accordingly. November = high intent.

December: A unique opportunity



Gift cards

High intent, low friction



Exchanges

Drive store traffic online



Self-gifting

Treat yourself messaging



In-store bridge

In-stock and local store promos

Elevated CTR, low CPC

High CTRs indicate high intent. Audiences are engaged and click prices are efficient.

Last minute and self-gifting

Shoppers shift from gifts to gift cards, exchanges, and self-purchases.

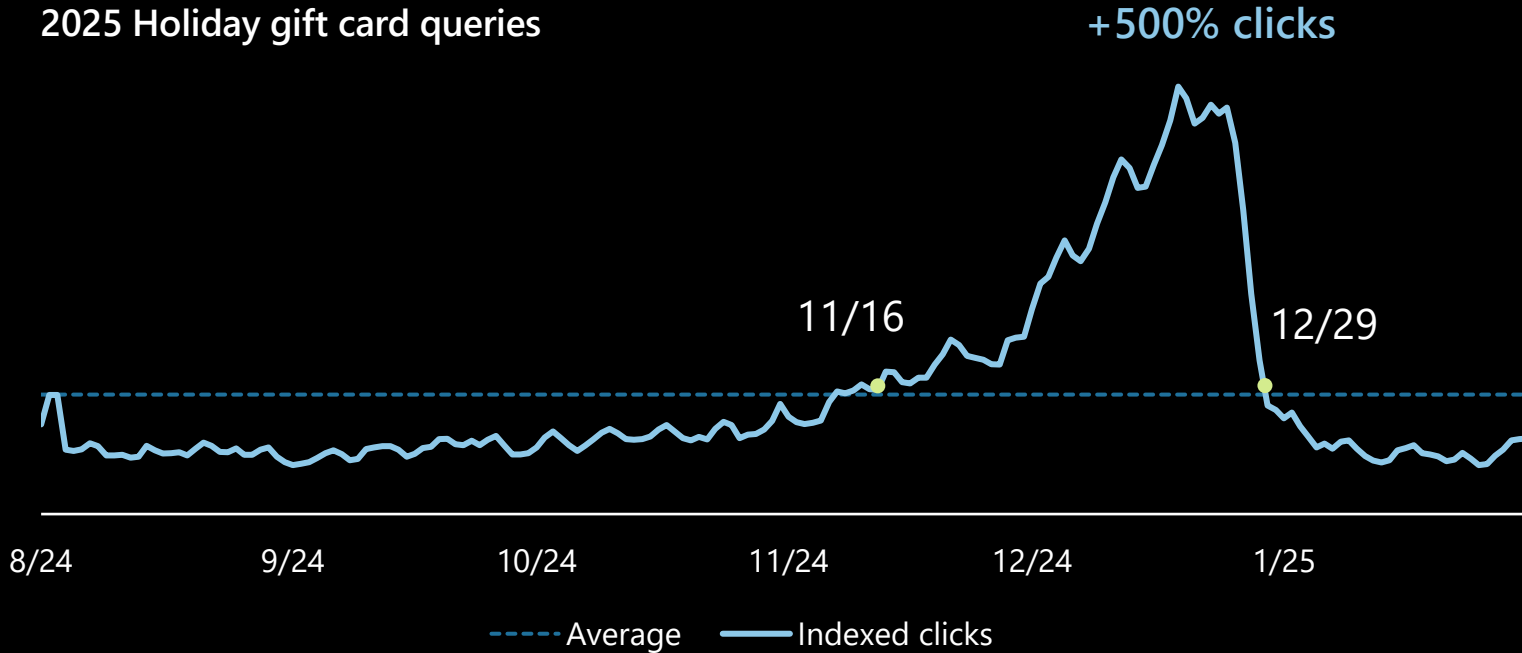
Capture demand

Pivot creatively and enhance promotions to earn late-minute shopping and shorter shopping windows due to timing.

Source: Microsoft Internal SMB Data | US | Holiday 2025 | All values indexed to season average (Oct-Dec 2024 and 2025)

Win the last-minute shopper with gift cards

2025 Holiday gift card queries



Source: Weekly rolling averaged indexed clicks, 2025 | Queries containing "gift card" plus like variants | O&O Only | US Only.

Strategize by pushing gift card options in mid-November through Christmas

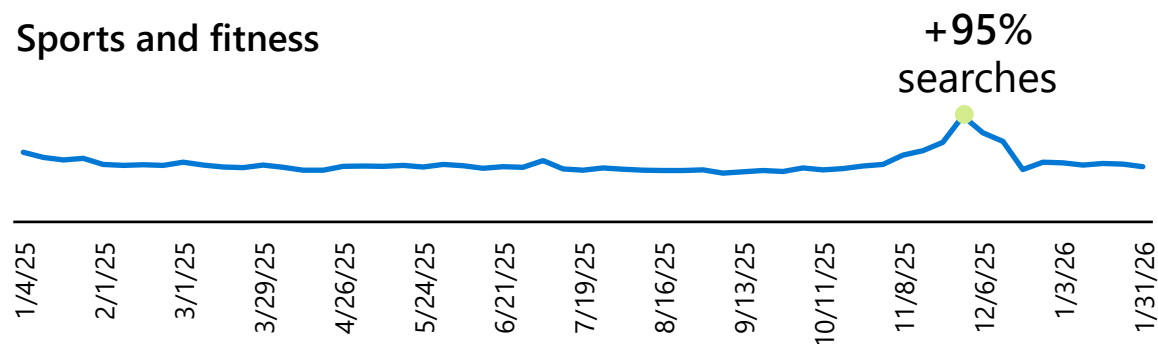
The gift card window of opportunity is sharply defined and actionable, starting mid-November through December.

Ensure gift cards are included and targeted in your shopping feed to capture peak traffic.

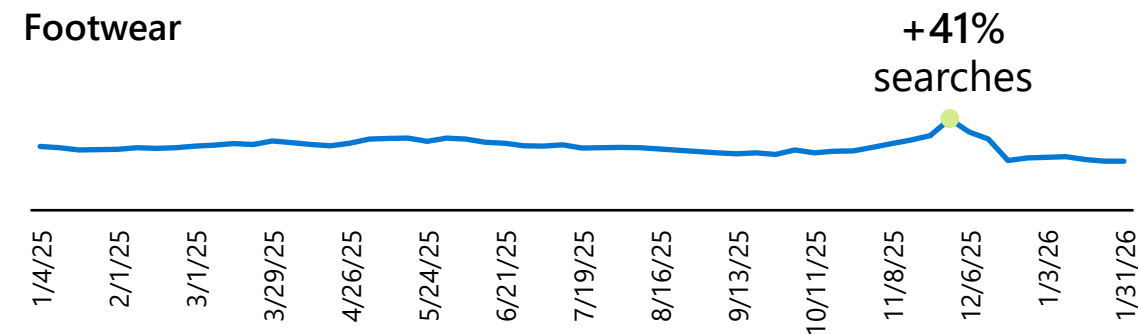
Consider adding tailored promotions, digital and/or customizable gift card options to capture last-minute demand.

More opportunity windows for holiday queries that peak

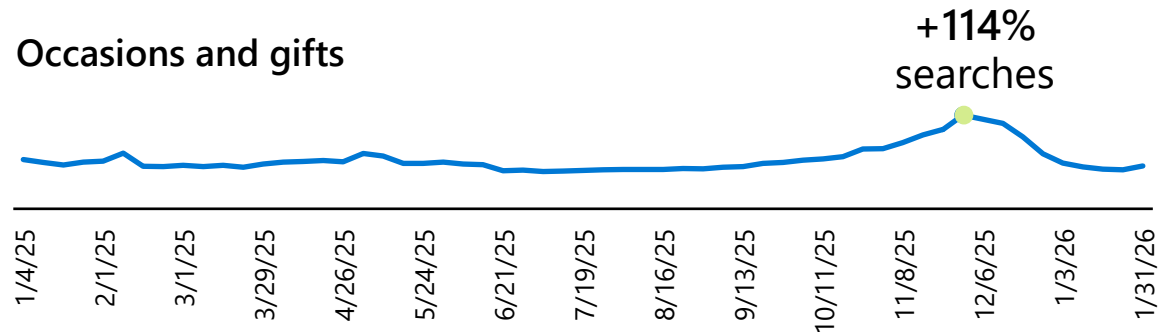
Sports and fitness



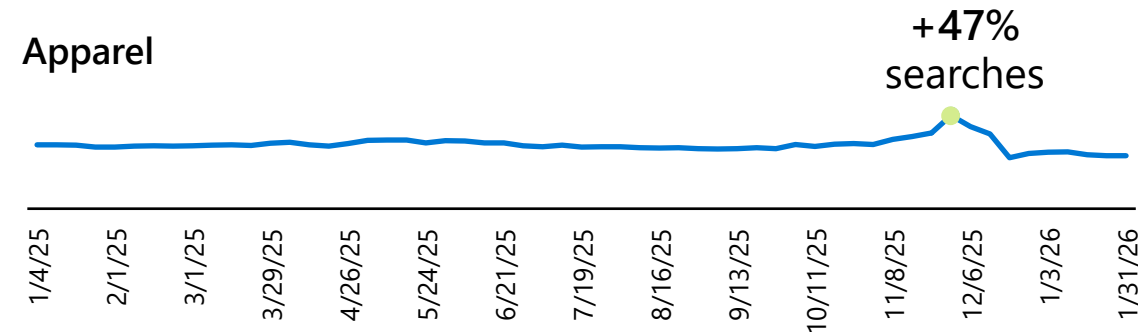
Footwear



Occasions and gifts



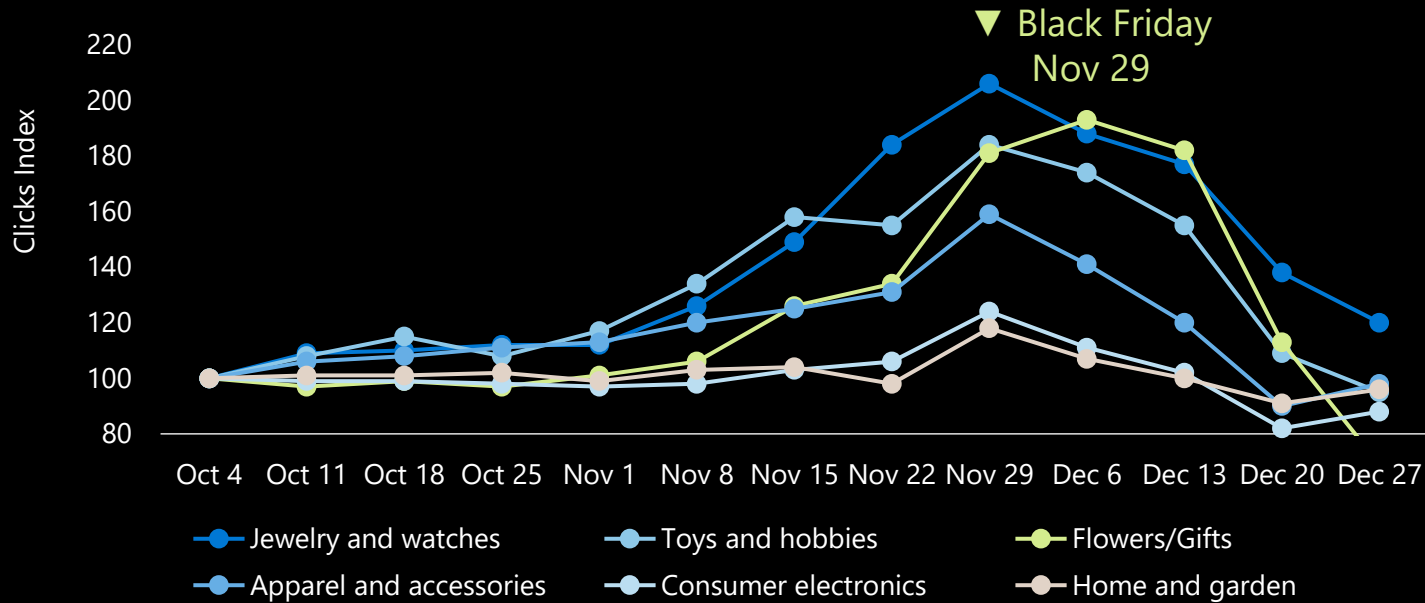
Apparel



Source: Microsoft Internal | Retail Marketplace | US | Search only. Evergreen average represents Feb–Sept 2025 search demand.

Holiday clicks steadily increase increase into Black Friday peaks

Black Friday week (Nov 29) is the universal inflection point across all L2s



Source: Microsoft Internal Data by L2 Category | Clicks | Retail Sub Categories | Oct 4–Dec 27, 2025

01. Jewellery and watches

Peak +106% · Nov 29

Start Oct: early shoppers browse luxury gifts.
Max budget Nov 15+.

02. Flowers/Gifts

Peak +93% · Dec 6

Accelerate through Dec 6 and still climbing post-BF. Gift occasion urgency.

03. Toys and hobbies

Peak +84% · Nov 29

Ramp Nov 8. Toy demand is BF-driven; competition peaks. Bid aggressively.

04. Apparel and accessories

Peak +59% · Nov 29

Consistent climb from Oct. Maintain awareness early, heavy up Nov 22–29.

05. Consumer electronics

Peak +24% · Nov 29

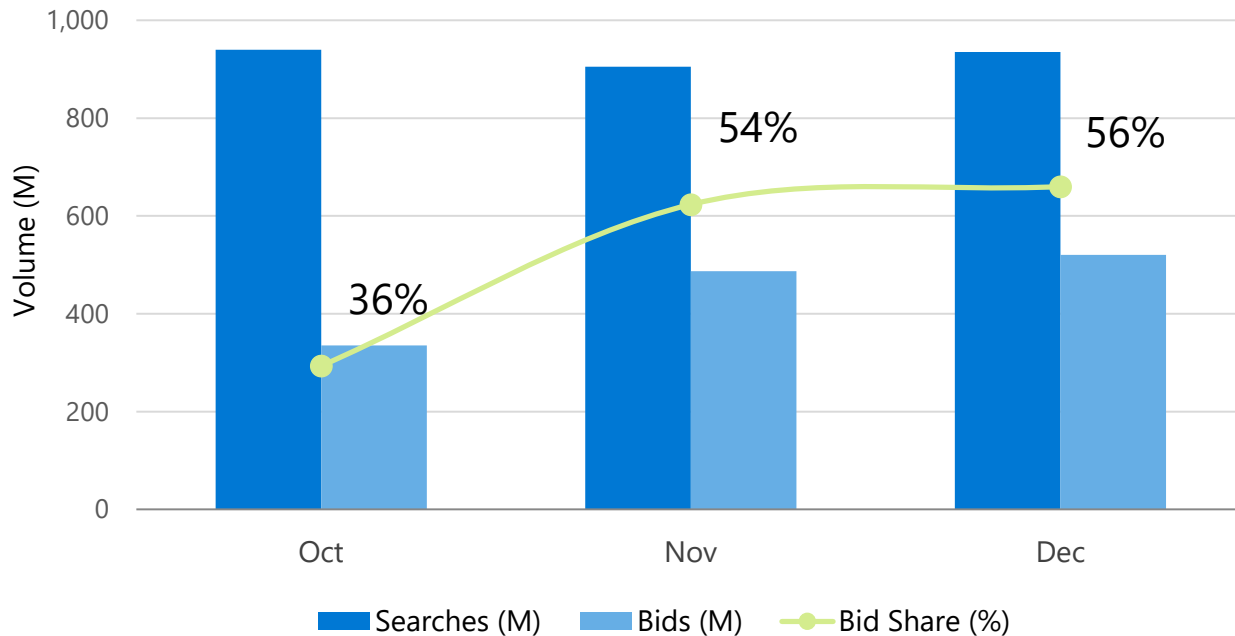
Flat until Nov 22. Concentrate spend the final 2 weeks.

06. Home and garden

Peak +18% · Nov 29

Weakest seasonal signal. Use efficiency-focus; avoid high CPC bidding wars.

US Retail holiday: Bids rise even through search stability



Source: Microsoft Internal Data | US Retail, weekly SRPV, BSRPV, and % Share | Holiday 2024 and 2025 | Monthly share calculated by summing week-start months and aggregated.

Page views are broadly stable

Total retail page views peak in October, slightly dip in November, and rebalance December.

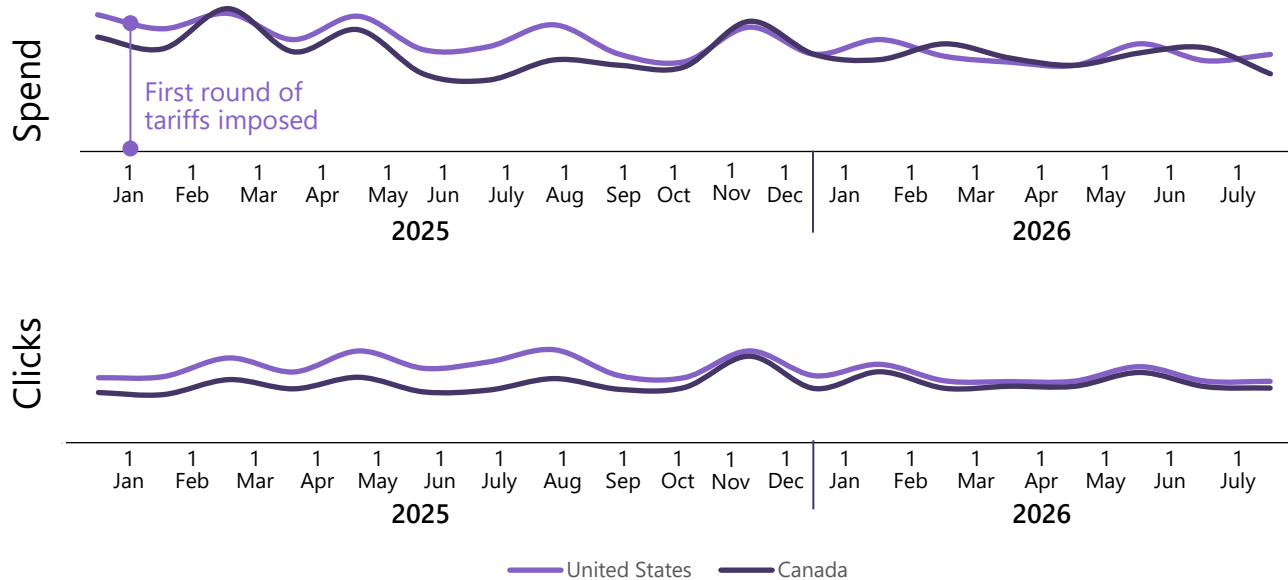
Ad-served views steadily increase

Strong bid total increase into December even with searches remaining stable.

Key takeaway

The search journey becomes more ad-served throughout the Holiday season, underscoring the need to remain competitive.

United States and Canadian retail spend and shopper activity follow a shared seasonal rhythm, both peaking in November



Spend builds toward a shared November peak.

November spend increased 33% in the U.S. and 52% in Canada versus the Sept–Oct baseline, with monthly seasonality strongly correlated across markets ($r = 0.67$).

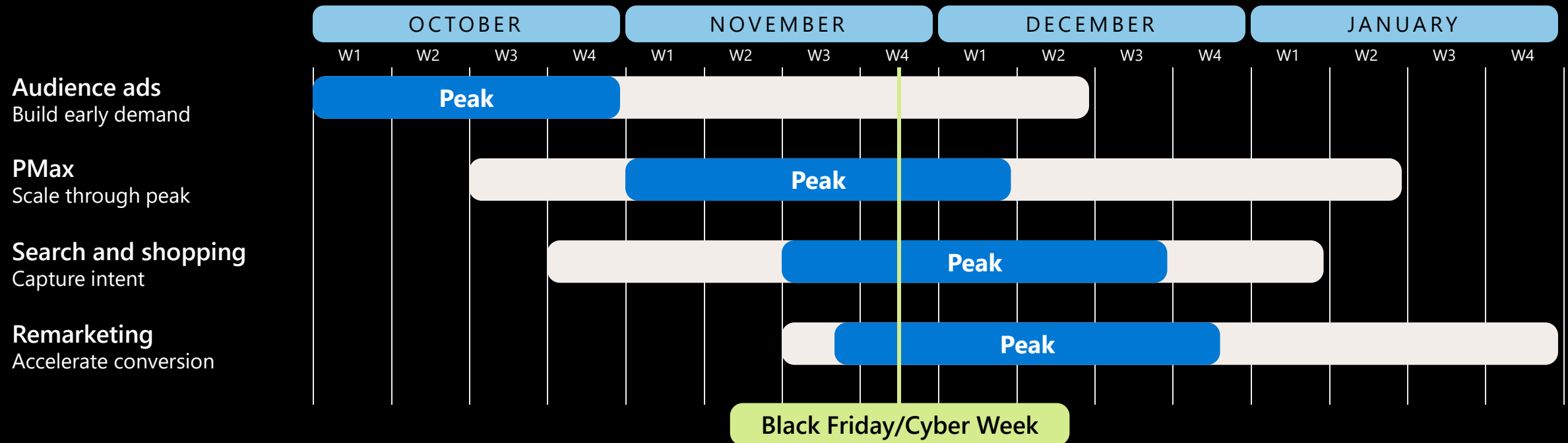


Shopper activity peaks at the same holiday moment.

November clicks increased 39% in the U.S. and 60% in Canada, confirming a common holiday activation window despite differences in absolute market scale.

Microsoft Internal Data | U.S. & Canada | SMB Retail advertiser spend and retail-equivalent Search clicks | Jan 2025–Jul 2026 | Indexed to each market's 19-month average

The holiday activation calendar: What to run, and when



Cross-market sequencing guide. Bar length = active period; darker segment = peak intensity. Calibrate exact weeks to each market's demand curve.

From Search to Discovery

Holiday shoppers are discovering,
researching and comparing more
options before they buy

Queries are growing longer and more nuanced

+11%

YOY Query length

Average character count per query up YOY.

+13%

YOY Unique queries

Unique queries/Total queries (Unique query ratio) up YOY.



Ensure strong **Broad Match** coverage to capture net new emerging queries.



Mine query reports for high value terms to add to your Exact Match portfolio for added control and efficiency.



Adopt **keywordless targeting solutions** like **AI Max** and **Performance Max** to capture these evolving queries and to serve the most relevant ads possible.



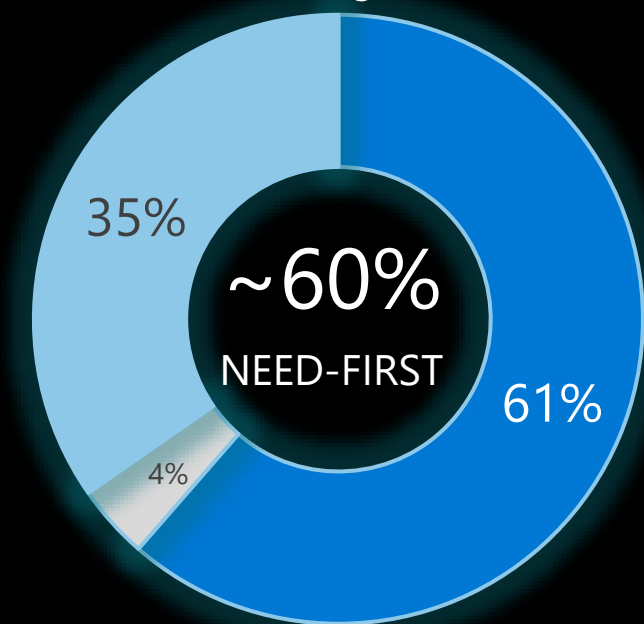
Use **Microsoft Clarity** to understand your website metrics better and **AI Visibility** (coming soon) for even more insight.

Shopping sessions are more likely to *begin with a need*—not a brand

How shopping sessions begin Post-stratified estimates from independently judged first turns

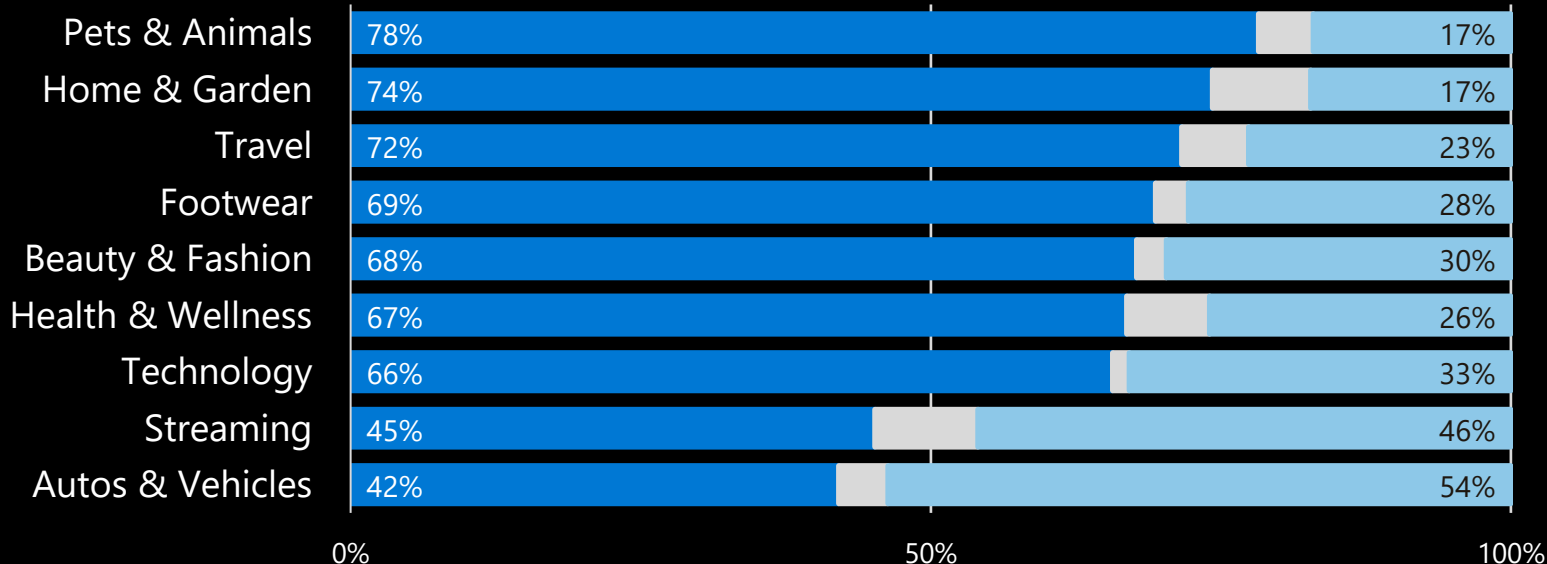
Overall estimate

■ Need-first ■ Ambiguous ■ Brand-led



Variation by vertical

■ Need-first ■ Ambiguous ■ Brand-led



AI users search more and are more active on Bing

Global web index

+8%

AI users are 8% more likely to use Search vs. Non-AI users.



Activate PMax as a lever to boost visibility opportunities in Copilot.

+8%

Bing users leverage AI 8% more often than Google users.

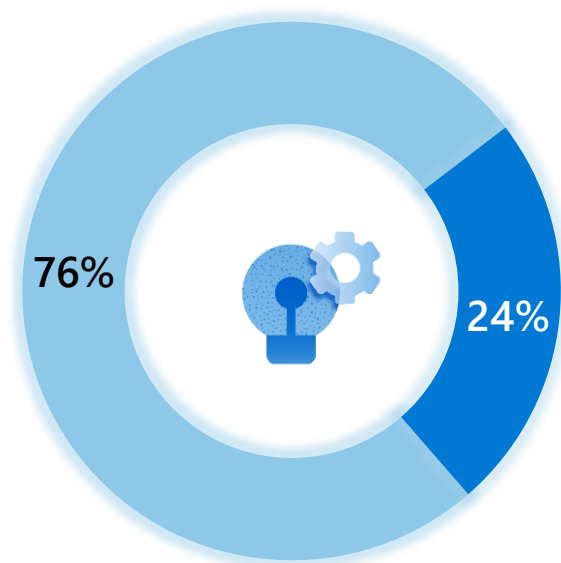


Ensure foundational SEO strategies are implemented to support AI platform visibility.

Copilot mode: ON for Holiday shoppers

Chat usage will be impactful
this holiday season

- Will use chat for holiday planning
- Will not use chat



Top categories include: Finding best prices and deals, brainstorming gift ideas, researching products to buy in-store, comparing gift options, finding ideas, researching travel options.

Source: Microsoft 1P Survey | 15-minute online study | Must shop online at least 1x per month | Fielded April 2025

Consumers will spend more time
looking for deals. Research is key
to win these planners.

87%

plan to shop a sales event this year (up 5% YoY)

67%

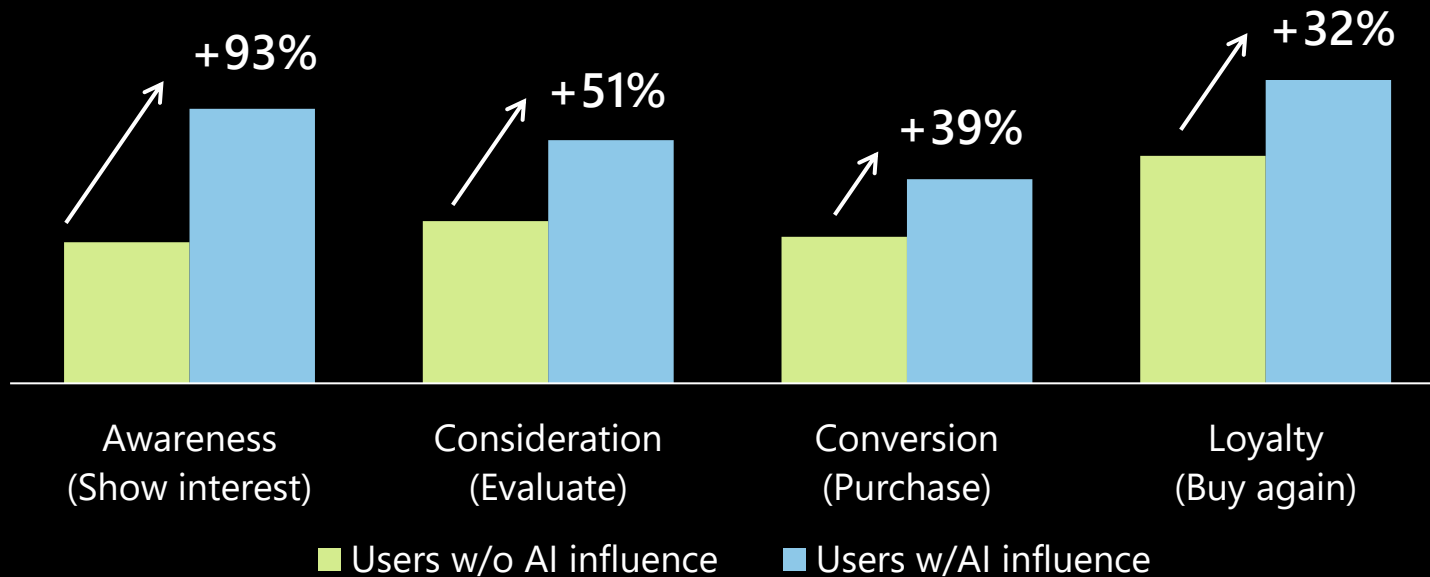
plan to purchase gifts for friends (up 7% YoY)

63%

plan to purchase gift cards (up 4% YoY)

Presence of AI pushes more people into each part of the funnel

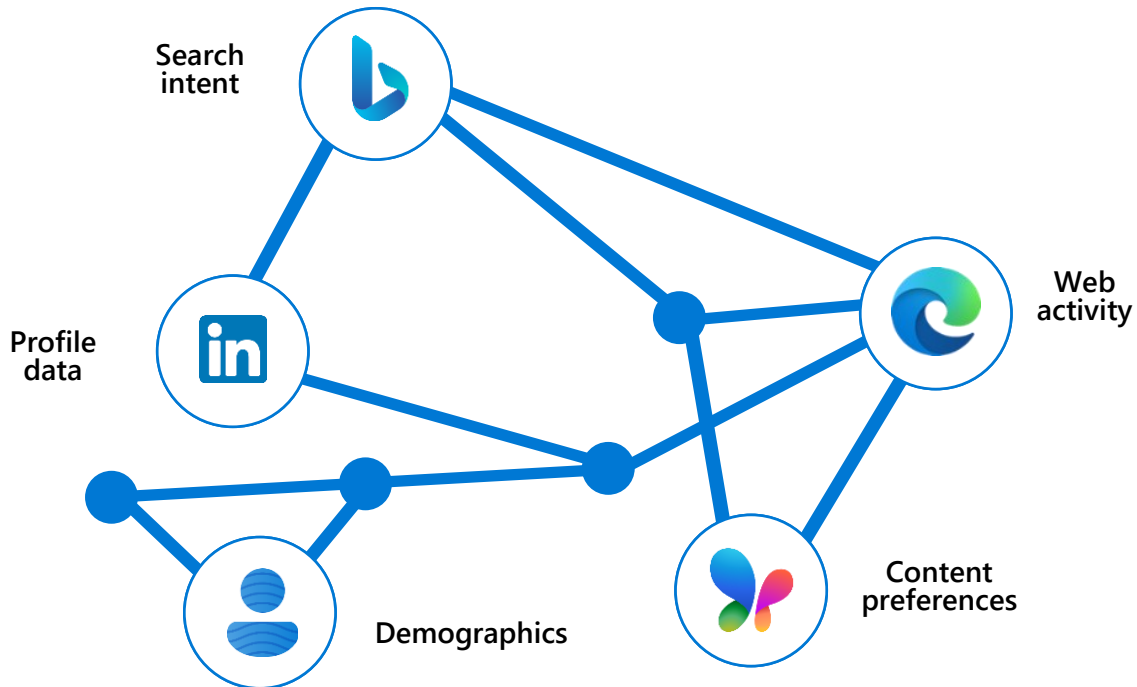
User share at each purchasing stage



AI expands the top of the funnel, by nearly doubling awareness and boosting all other down funnel metrics.

Higher share of users across each funnel stage also means the presence of AI leads to less people abandoning their purchase journey.

Unique data signals to pinpoint your ideal audience



Build your audience understanding with Microsoft's unique audience intelligence.



Billions of **first-party audience signals** from Microsoft's massive consumer properties.

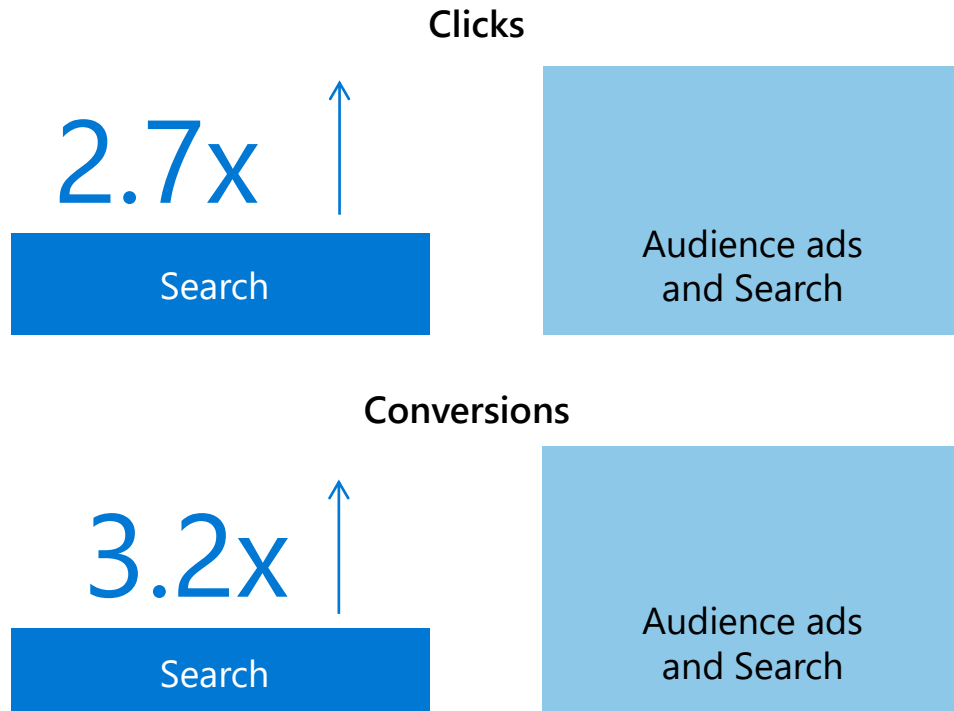


Powerful, deterministic data built from **search intent, web activity, profile data, and more.**



Unique audience data that only Microsoft can provide—accessed through Microsoft.

Search only vs Search and Audience ads

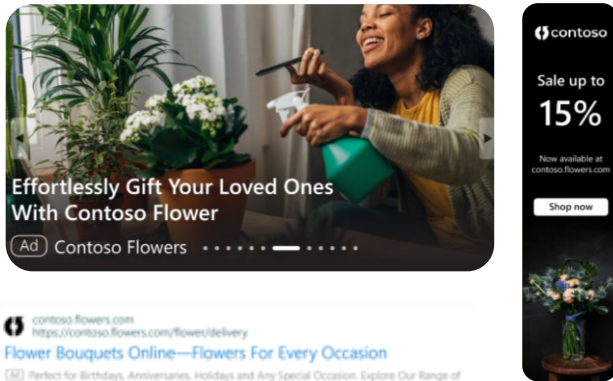


Source: Microsoft Internal Data., Retail, US, June 2026 Search ads and Audience ads

Activate Audience ads to **expand** consumer **reach** and **build** upfront brand awareness.

Display ads impact downstream search engagement, with a 52% probability of a Search ad click immediately following exposure

Display ad



Search click



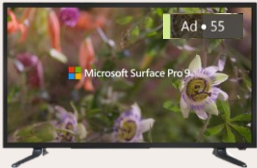
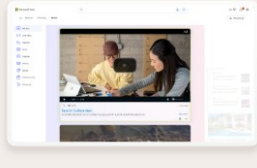
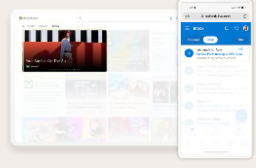
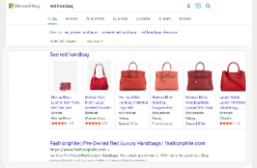
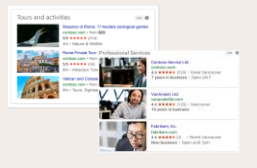
Probability

52%

Consumers will click your search result as their **next touchpoint**.

Source: Microsoft Internal Data., Retail, US, June 2026 Search ads and Audience ads

Connect the dots across your campaigns

	Video		Display and native		Search		
Format	Premium streaming	Online video ads	Display ads	Native ads	Performance Max	Search ads	Product ads Vertical ads
Description	Engage your audience as they are streaming media on their connected TVs and devices.	Engage your audience as they watching videos and browsing on desktop, tablet, and mobile on Microsoft properties and across the web.	Upload your own static image ads and reach a relevant audience on sites like MSN, Microsoft Edge, Outlook, and across the web.	Drive personalized engagements with your ideal audience and automatically combine assets to drive performance on sites like MSN, Microsoft Edge, Outlook, and across the web.	You architect the strategy with goals, assets and signals. Our AI dynamically created and optimizes ads across all Microsoft Advertising surfaces to maximize performance.	Serve ads on Bing and third-party sites to reach users as they are searching online.	Increase visibility of your products, services, and offerings in an engaging format. Available across Automotive, Financial Services, Health, Travel and Professional Services, and Retail verticals.
Visual							

Turning awareness into revenue —Impression based remarketing case study

By connecting Audience Ads to Search through impression-based remarketing, the advertiser transformed upper-funnel awareness into measurable conversions and revenue.

2.7x

Conversion lift from
in-market audiences

+76%

Video view-
through rate

+56%

Revenue generated
from remarketing

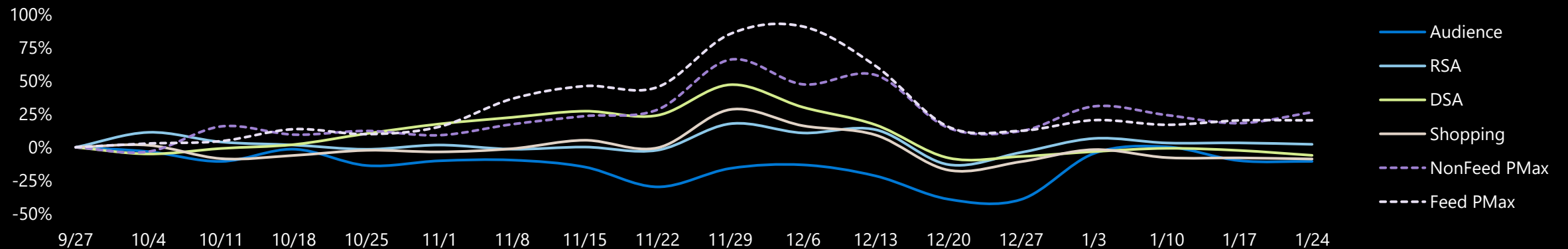
Source: Microsoft Internal Data., Retail, US, April 2026 Case Study

Responsive Search ads (RSA) provide stability, while Performance Max (PMax) powers holiday spikes



Use RSA as the always-on base, then scale PMax ahead of peak demand windows to capture surges in holiday impressions.

Indexed Impressions (9/27 as 0)

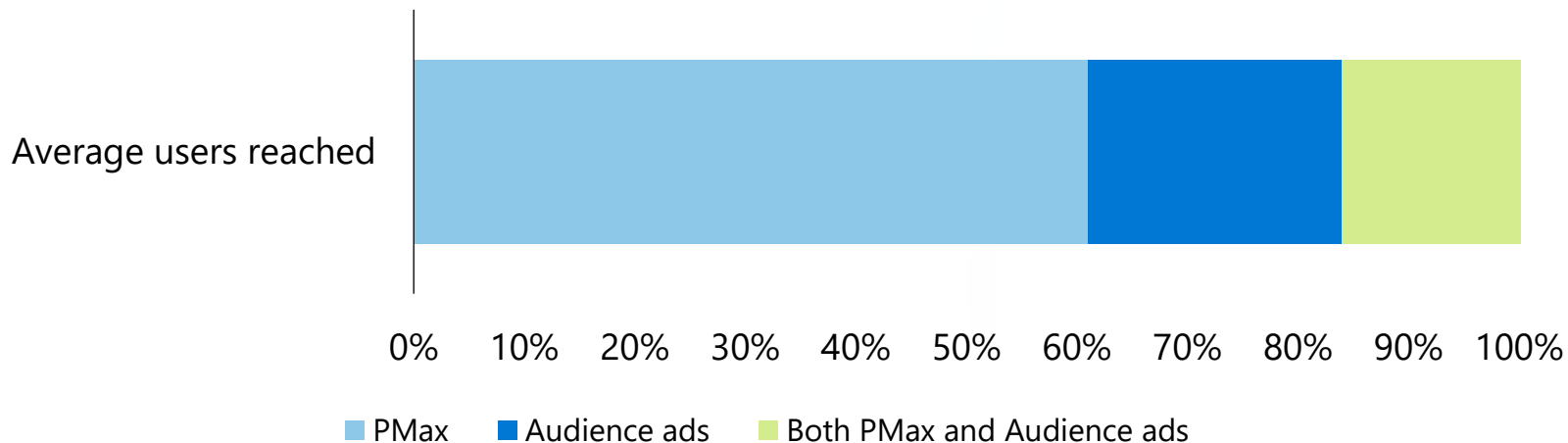


Demand | Retail and CPG | US Only
 RSA includes: RSA, Text, EXTA, and MMA. Feed includes Shopping only. Non-Feed PMax includes RSA, Text, DSA, and MMA. LIA = Local Inventory Ads

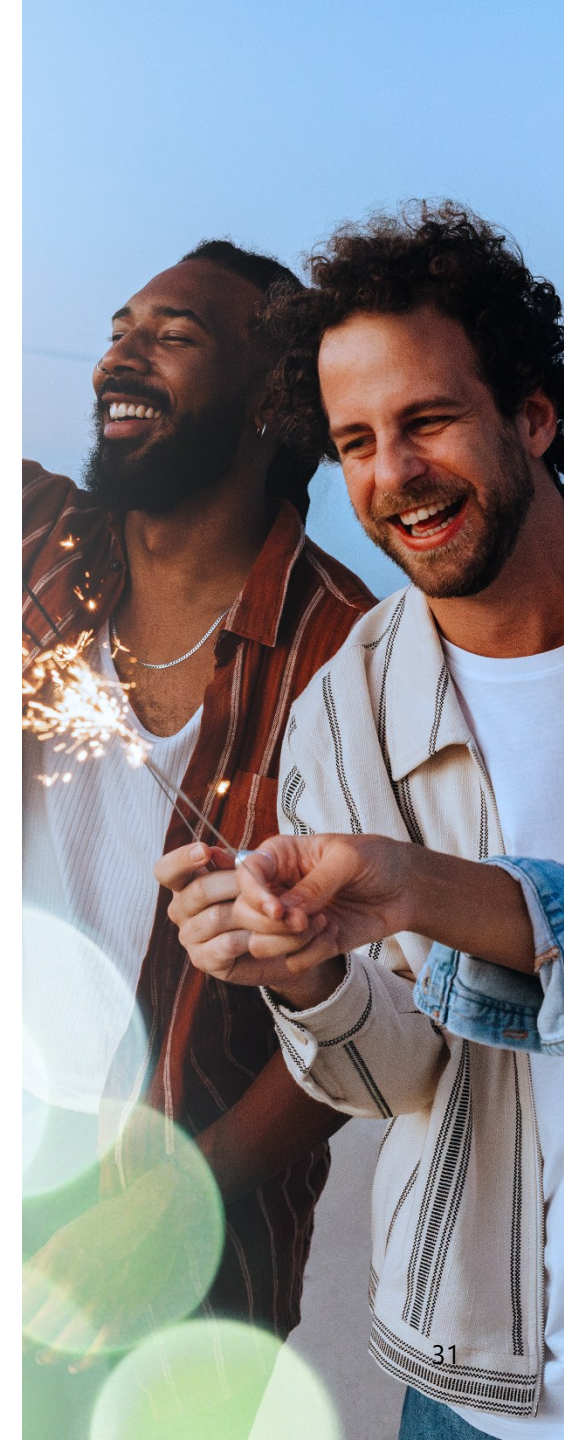
Expand reach with PMax and Audience ads



Activate Audience ads alongside PMax to boost reach and minimize missed opportunities among high-intent Retail users.



Microsoft Internal | Holiday Retail Query Path (UET) Oct-Dec 2025. Sampled data based on 5 high volume Retailers



Search and PMax adoption drives efficiency

Accounts running PMax alongside Search outperform Search-only accounts on return, engagement and cost, and deliver strong category benchmarks.

Retail

+56%

Return on Ad spend
vs. Search-only

+35%

Click-through rate
vs. Search-only

-28%

Cost per Click
vs. Search-only

B2C

+22%

Return on Ad spend
vs. Search-only

+27%

Click-through rate
vs. Search-only

-43%

Cost per Click
vs. Search-only

Source: Microsoft Internal: United States, Retail and CPG, Jan to May 2026, Search vs PMAX and Search only

AI Max helps you stay ahead of the curve as Search evolves toward more AI-driven experiences



Reach

Search is evolving, and every day brings new intent-driven queries we've never seen before. Advertisers need smarter solutions to reach them.



Relevance

Traditional keywords and ads struggle to stay relevant in the face of new trends, long-tail queries, and emerging Search experiences.

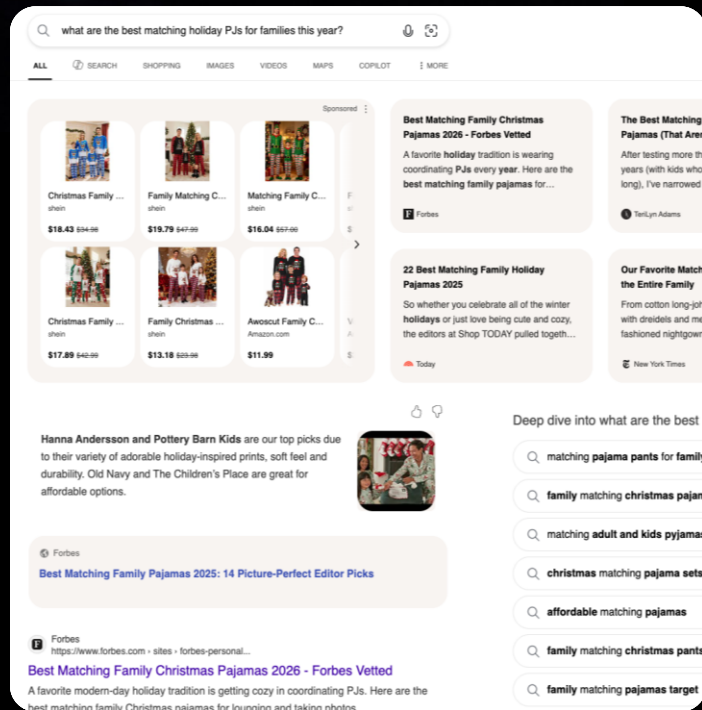


Results

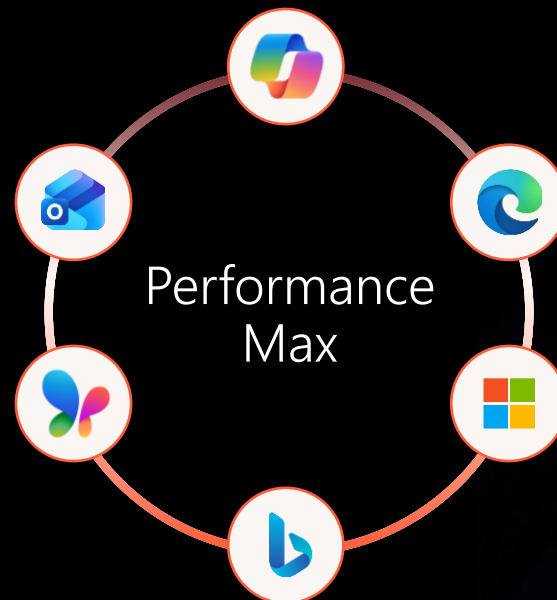
Microsoft AI can help you connect with new customers throughout their journey and deliver ads that drive stronger results—without adding manual work.

AI Max and PMax help you deliver

ADAPT TO CHANGING INTENT - WITH PROVEN LIFT



☒ Enable AI-powered optimization for your campaign ⓘ



AI MAX | GENERALLY AVAILABLE GLOBALLY

8%+ more conversions. Even greater uplift for campaigns relying on Exact and Phrase match.

Vs. Control Search campaigns with AI Max disabled [1]

PERFORMANCE MAX

8%+ incremental conversions on average

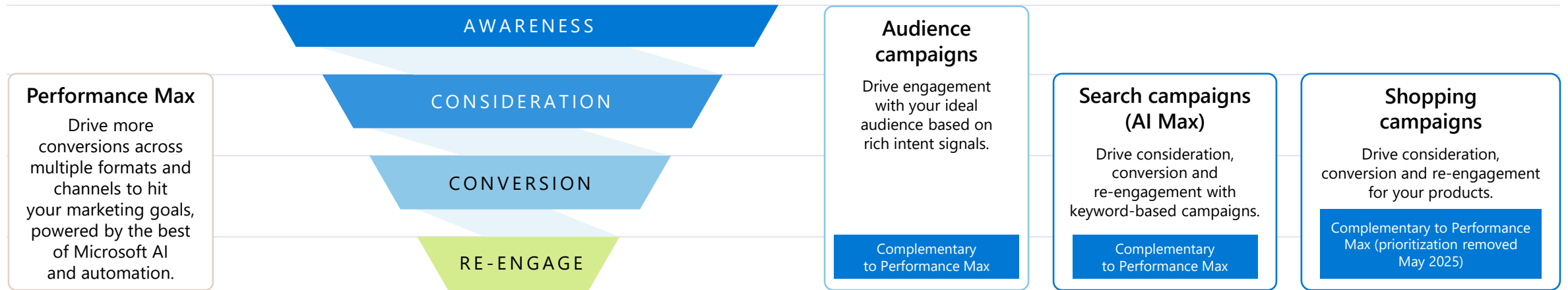
Global advertiser results [2]

Holiday Best Practices

How to make the most of your holiday campaigns

How to reach your goals throughout the funnel this Holiday

Performance Max, Audience ads and other formats complements and augments your existing Microsoft Advertising strategy across the funnel



Performance Max delivers the best of Microsoft AI and automation to drive results based on your marketing goals.

Audience, search, and shopping campaigns can help you drive more volume with a more customized strategy.

Personalize your message based on ad exposure

For example, if someone sees your video ad, you can follow up with a sequential, relevant message in display, native, video, or search.

Generate lists from AD exposure

01 Viewing a flower delivery video ad.



CTV—Video—Display—Native

Remarket across formats

02 Remarketed with flower delivery native ad and mobile display ad.



Video—Display—Native —Search

August September

New launches or new betas:

Now is the time to launch anything new or try anything new!

Restructures

If you have data volume issues, now is the time to restructure and consolidate.

Micro conversions

If you have data volume issues or want to feed the algo with richer data, now is the time to add these in.

Feed optimization:

Optimize your feed (titles, descriptions, duplicates etc.) to ensure optimum performance ahead of peak.

Feed audit checklist

The basics

- ✓ Required fields
- ✓ No duplicate titles
- ✓ Proper formatting
- ✓ GTIN/MPN
- ✓ Correct pricing
- ✓ Product page URLs
- ✓ Include all products

The opportunities

- ✓ Strong titles
- ✓ Long descriptions
- ✓ Optimized images
- ✓ Optional fields
- ✓ Product categorization
- ✓ Routine updates

Holiday standouts

- ✓ Sale prices
- ✓ Merchant promotions
- ✓ Local Inventory ads
- ✓ Curbside pickup
- ✓ Free shipping
- ✓ Additional images

October

Seasonal messaging launch

Now is the time to launch seasonal copy and assets and get testing with Ads Studio!

Gather search terms and add seasonal search themes

Use the Search Term Insights report to find strong performing search queries. Adding seasonal search themes for PMax will act as an additional signal/won't limit volume.

Finish up testing any new bid strategies

If you're A/B testing new bid strategies, you must decide on your peak approach by mid-October to allow the new strategy to learn.

Budgets and targets

Look at last year's CPC changes and begin to incrementally lower ROAS targets to allow further volume, and account for the increased competition.

Creative best practices

Best practice

Choose relatable, compelling images, preferably without text

Leverage the Ad preview tool

Turn on auto-generated assets to improve performance

Regularly leverage performance reporting to refresh assets as needed

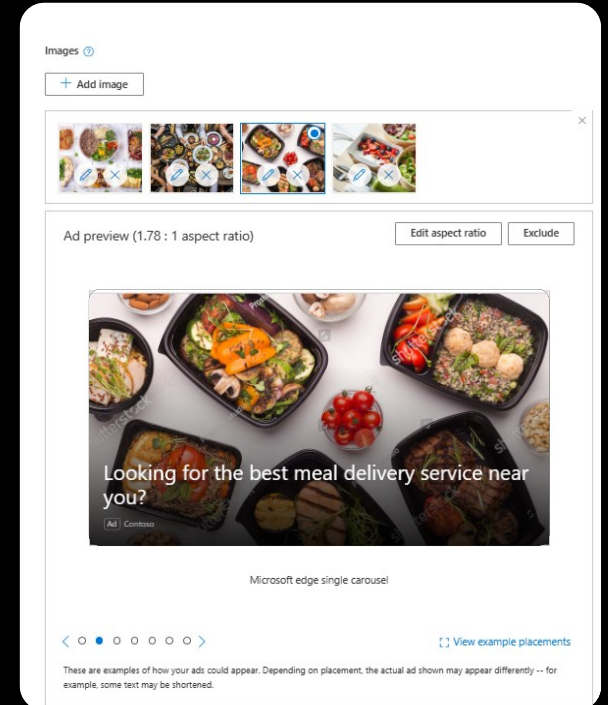
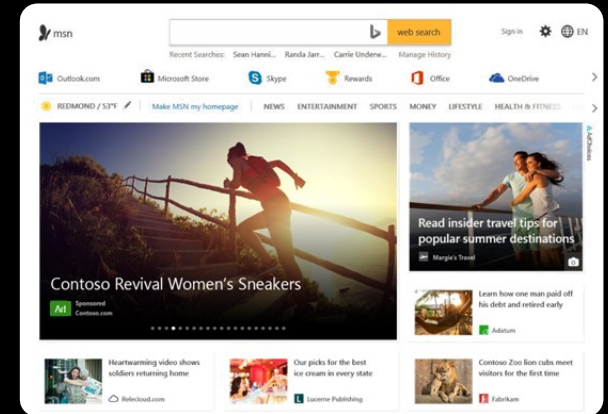
Pro tip

Lifestyle photos (e.g. a woman running instead of just a picture of a running shoe) are more compelling, as are images with people experiencing an **emotion**.

If **overlaid text is required**, naturally integrate them in the center of the image.

The ad preview should be representative of how the ads will appear. If you don't like how a certain version looks in the preview, you can **exclude the ratio**.

As necessary, you can **delete any assets (including auto-generated assets)** that aren't performing well for your campaigns.



Refine your assets for holiday with Ads Studio

01 Enter a prompt to describe what your campaign and target audience to help Copilot generate asset themes.

02 You can choose from one or multiple themes.

03 You can also rewrite copy with a given holiday prompt.

- Find similar short headlines
- Try a different tone
- Revise


Refine your asset recommendations

Select **Refine** to get updated recommendations by providing new descriptions or select **Remove assets** to remove all assets from the current asset group.

Refine

Remove assets


Get asset recommendations
×

Final URL: <https://www.contoso.com/>
Provide a description of your product.

 Microsoft Advertising will use the descriptions that you provide to generate new asset recommendations. If your description doesn't match your website's content, we'll generate recommendations entirely from your Final URL.

Highlight what you'd like to include in your ads.

0 / 300

➤

Choose the themes you'd like to add to your asset group. 

Authentic Italian flavors



Handcrafted with love



Local and sustainable ingredients



Cozy neighborhood atmosphere



Apply

Cancel

42

Holiday example and best practices for prompting AI

Subject

~~A chocolate cupcake~~

Point of view
primary setting

Placed on a soft
white blanket

Secondary props

With gift boxes next to it

Tertiary atmosphere

With snowflake lights behind
it with a Christmas atmosphere

Christmas atmosphere



Halloween scene



Lunar new year



Romantic scene



Seasonal in-market audiences

Seasonal segments are lists of people ready to buy for a particular event, like Black Friday or Christmas.



Seasonal segments use the same audience intelligence as existing In-market audience segments, and are infused with additional signals related to the seasonal event to deliver a relevant user segment of likely converters.

Back-to-School segments

US, CA

Seasonal shopping/back-to-school apparel and accessories.

Black Friday segments

US, CA, UK, DE, FR, AU, NZ

Seasonal shopping
Black Friday shopping.

Seasonal shopping/Black Friday shopping/in-store Black Friday shopping.

Seasonal shopping/Black Friday shopping/online Black Friday shopping.

Other Seasonal segments

Global for advertisers
targeting India

Seasonal shopping/
India Independence Day.

Seasonal shopping
/Rakhi (Rakshabandhan) Festival.

Christmas holiday segments

US, CA, UK, DE, FR, AU, NZ

Seasonal shopping/Christmas shopping.

Seasonal shopping/Christmas shopping/
after-Christmas sale shopping.

Seasonal shopping/Christmas shopping/
in-store Christmas shopping.

Seasonal shopping/Christmas shopping/
online Christmas shopping.

Mother's Day segment

US, CA, UK

Seasonal shopping/
Mother's Day shopping.

Valentine's Day segment

US, CA, UK, FR, DE, AU

Seasonal shopping/
Valentine's Day shoppers.

Automated bidding tips for peak promotions success

Best practice

Reminder: Avoid capping your budgets

Leverage the bid landscape tool

Make target and budget changes as needed,
and phase target changes gradually where possible

Leverage seasonality adjustments for peak moments

Pro tip

Hitting your budget caps should be avoided;
it is better to use **targets** to control spend.

You can create a simulation of your campaign's
performance using different targets.

Phase large changes in **15%** increments gradually
when possible.

Budget updates are fast (within six hours), but ideally
target changes should be set a week early when
possible, to avoid volatility.

Leverage **seasonality adjustments** where needed
if you can anticipate conversion rate changes.



November December

Asset refresh and search theme refresh

Refresh assets and search themes with Christmas copy post Cyber week.

Budgets and targets

Allow budgets to be uncapped or significantly increased. Budget changes should generally adapt within hours, and it's best to adjust targets in <15% increases when possible.

Seasonality adjustments

Real-time adjustments: use these for Cyber Weekend or any sales <1 week long when you can anticipate conversion rate changes.

Consider implementing conversion value rules (in pilot for PMax)

You can set these for locations, devices or audiences.

Winning Holiday: Three Takeaways

01 Use September to strengthen campaign foundations, then activate seasonal messaging in October to reach shoppers while they are still researching before peak competition.

02 Combine Audience Ads, Search, Shopping, Performance Max, and remarketing to build awareness, capture active intent, and re-engage shoppers across multiple touchpoints.

03 Respond to changing shopper intent with AI-powered optimization, refreshed creative, flexible budgets, and relevant offers from Black Friday through last-minute December demand.

Ready to win this holiday season?

United States: 1-800-518-5689

[Microsoft Advertising Support for United States](#) | [Microsoft Advertising](#)

Canada: 1-800-985-4671

[Microsoft Advertising support for Canada](#) | [Microsoft Advertising](#)

Global Support Resources

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Thank you